Earnings update

Alphabet Q3 2026: Cloud doubles, capex drains cash flow

29 October 2026 · Syz Research

> **“Google Cloud revenues grew 103%, powered by huge demand for our AI infrastructure and AI solutions. We’re also seeing strong demand for our TPU systems across a wide range of customers.”**
>
> Sundar Pichai, CEO, Alphabet Q3 2026 results, 28 October 2026

Alphabet owns Google Search, YouTube, Android and Google Cloud. Google Services, mostly advertising, brings in 75% of revenue and Google Cloud 24%. Revenue now runs above USD 500bn a year; the shares trade on Nasdaq.

Key takeaways

Miss EPS of USD 2.12 missed consensus by 30%; a USD 8.7bn equity-stake loss explains 60% of the gap.

Beat Google Cloud revenue doubled to USD 30.7bn, 5% above consensus, and its operating margin reached 36%.

Reaction Shares are down over 10% pre-market on 29 October: margins fell and free cash flow turned negative.

Valuation Near USD 292, the stock trades on 17.7x forward earnings, 10% below its 2010 to 2026 average.

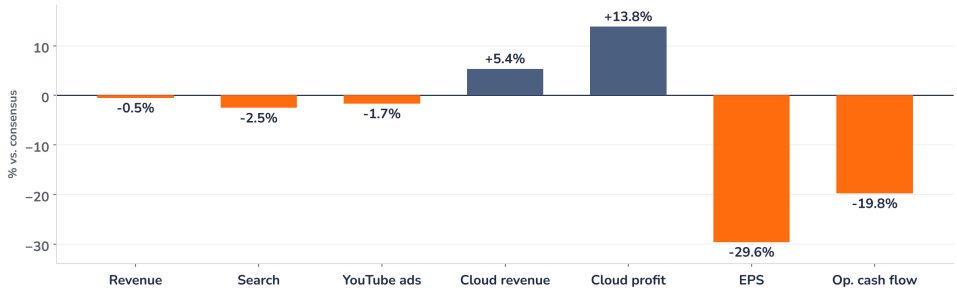
Revenue	EPS	Google Cloud revenue	Free cash flow
USD 127.6bn	**USD 2.12**	**USD 30.7bn**	**USD −9.1bn**
−0.5% vs. consensus	−29.6% vs. consensus	+5.4% vs. consensus	Consensus USD −2.7bn

The debate moves to the return on capex

Revenue missed consensus by 0.5% and EPS by 30%, and the shares are down over 10% pre-market on 29 October, below USD 300. The fall is larger than the operating miss of about 6%. We read it as a verdict on the investment cycle: free cash flow was −USD 9.1bn, share buybacks stopped and capital expenditure (capex) of USD 51.4bn absorbed 40% of revenue.

Chart 1 · GOOGL: Q3 2026 results vs. consensus

Reported vs. consensus before the release, % · Cloud profit = Google Cloud operating income · EPS includes a USD 0.55 loss on equity securities



The quarter splits in two. Google Cloud beat consensus by 5% on revenue and by 14% on operating income. Advertising fell short, with Search 2.5% and YouTube ads 1.7% below estimates. Excluding the USD 0.55 equity loss, EPS of USD 2.67 sits 11% under consensus, and operating cash flow came in 20% short.

Base case and implications

The investment case remains intact and the risk/reward has improved with the fall. We underwrite revenue growth of around 20% into 2027, led by Cloud, and expect consensus EPS to come down as depreciation rises. The debate has moved from AI demand to the payback on capex, with a Cloud backlog of USD 561bn as support. Near USD 292, the stock trades 10% below its long-run multiple. The next test is the Q4 report in early February and the 2027 capex plan.

What would strengthen our view

Google Cloud margin above 30% in Q4 despite third-party capacity costs; Search growth back to 15% or more; buybacks resuming in Q4; TPU contracts turning into the revenue management expects for 2027.

What would change our view

Free cash flow negative again in Q4 with no restart of buybacks; Search growth below 10% as retail media takes budget; a 2027 capex plan well above 2026 without a matching rise in the Cloud backlog.

Beyond the key takeaways

Results: Cloud carried, advertising slowed

Revenue rose 25% to USD 127.6bn and operating income 30% to USD 40.6bn. Google Cloud did most of the work: revenue grew 103% to USD 30.7bn on demand for AI infrastructure, enterprise AI tools and the first TPU system sales, and operating income more than tripled to USD 11.1bn, a 36.2% margin. Google Services revenue of USD 96.3bn missed by 2.2% and its operating income of USD 39.2bn by 3.9%. Search grew 12% to USD 63.4bn, down from 17% in Q2; management cited currency and a Q2 lifted by the FIFA World Cup. YouTube ads grew 9% to USD 11.2bn. Net income fell 25% to USD 26.2bn.

The miss and the pre-market fall of more than 10% on 29 October point the same way, though the move goes beyond the operating shortfall. Most of the EPS gap is non-operating: a USD 8.7bn loss on equity stakes, mainly SpaceX, cost USD 0.55 per share. The confirmed drivers sit elsewhere. The operating margin fell to 31.8% from 34.0% in Q2 as depreciation rose, free cash flow was –USD 9.1bn against –USD 2.7bn expected, and no shares were bought back. The stock had already lost 8% since 13 October. We think investors now question the payback on capex, and the buyback halt removes a support.

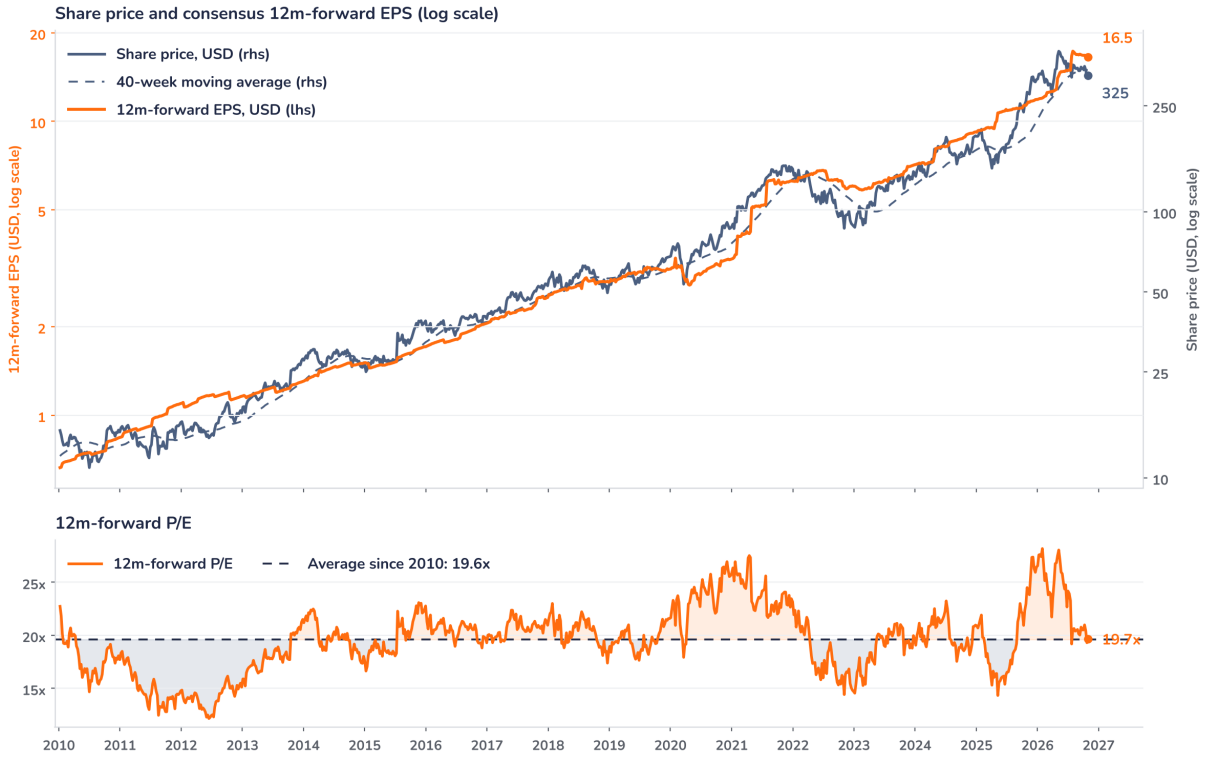
Outlook: heavier spending, TPU revenue in 2027

Management flagged near-term pressure on Cloud margins as higher-cost third-party capacity fills gaps in its own supply, with the cost rising in Q4. Capex reached USD 51.4bn in Q3, up 114%, taking the nine-month total to about USD 132bn. The full-year plan of USD 195bn to 205bn, set in July, implies USD 63bn to 73bn in Q4. The Cloud backlog stands at USD 561bn, and management expects the vast majority of TPU system revenue in 2027. Usage keeps climbing: first-party models process 32 billion tokens per minute and the Gemini app has one billion users. Cash and securities of USD 265.1bn cover long-term debt of USD 125.1bn twice.

Valuation: the premium is gone

Chart 2 · GOOGL: share price vs. consensus earnings and valuation

Weekly, 2010 to 28 Oct 2026 · Bloomberg 12m-forward consensus EPS · 40-week MA · Log scale · Last price is the 28 October close, before the release



At the 28 October close of USD 324.9, before the release, the stock traded on 19.7x 12-month forward EPS of USD 16.5, in line with its 19.6x average since 2010 and far below the 28.2x peak of January 2026. Over 12 months the price rose 25% and consensus EPS 46%, so earnings did the work and the multiple compressed. The price sat 5% below its 40-week average of USD 340.8. Near USD 292 pre-market, the multiple drops to 17.7x, 10% below average. A 5% cut to consensus EPS at that price would lift it to 18.6x, still under the average.

SYZ Source: Syz Research, Bloomberg, company filings, Alphabet Q3 2026 results of 28 October 2026, analyst research notes of 29 October 2026

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